

*neoclassical modeling assumptions. Given the notable significance of the anomaly, it is important to understand whether the value disparity represents a stable preference structure or if consumers' behavior approaches neoclassical predictions as market experience intensifies.*

*In this study, I gather primary field data from two distinct markets to test whether individual behavior converges to the neoclassical prediction as market experience intensifies. My data gathering approach is unique in that I examine i) trading patterns of sports memorabilia at a sports card show in Orlando, FL, and ii) trading patterns of collector pins in a market constructed by Walt Disney World at the Epcot Center in Orlando, FL. In addition, as an institutional robustness check, I examine explicit statements of value in actual auctions on the floor of a sports card show in Tucson, AZ. All of these markets are natural settings for an experiment on the relationship between market experience and the endowment effect, as they provide natural variation across individual levels of expertise. In the sports card show field experiments, I conduct some of the treatments with professional dealers and others with ordinary consumers. The design was used to capture the distinction between consumers who have intense trading experience (dealers) and those who have less trading experience (non-dealers). A major advantage of this particular field experimental design is that my laboratory is the marketplace: subjects would be engaging in similar activities whether I attended the event or went to the opera. In this sense, I am gathering data in the least obtrusive way possible, while still maintaining the necessary control to execute a clean comparison between treatments. This highlights the naturalness of this particular setting and the added realism associated with my field experiments.*

*The main results of the study fall into three categories. First, consistent with previous studies, I observe a significant endowment effect in the pooled data. Second, I find sharp evidence that suggests market experience matters: across all consumer types, market-like experience and the magnitude of the endowment effect are inversely related. In addition, within the group of subjects who have intense trading experience (dealers and experienced non-dealers), I find that the endowment effect becomes negligible. Both of these observations extend quite well to statements of value in auctions, where offers and bids are significantly different for naïve consumers, but statistically indistinguishable for experienced consumers.*

*While these empirical results certainly suggest that individual behavior converges to the neoclassical prediction as market*